

# Roth Conversion *Do's & Don'ts*

*Five mistakes that can cost retirees six figures, and the simple checks that catch every one of them.*

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**Roth Conversion Do's & Don'ts** Five mistakes that can cost retirees six figures, and the simple checks that catch every one of them.

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*Read these in any order. Each chapter stands on its own.*

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# A Note Before You Begin

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This book is not tax advice, financial advice, or legal advice.

Everything in these pages is educational. The rules, thresholds, and dollar figures are correct to the best of our knowledge as of the date of publication, and tax law changes. The examples are illustrative and do not predict any outcome for you.

Before making any decision about your retirement accounts, talk to a qualified professional about your own situation. That is not a formality. It is the single piece of advice this book repeats more than any other, because it is the one that matters most.

# How We Work

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## INTRODUCTION

# The Most Expensive Thing Patricia Ever Did Was Nothing

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Patricia was sixty-eight when she started asking about Roth conversions, and seventy-three before she stopped.

She had retired at sixty-five with about a million dollars in a traditional IRA. Her husband Tom had handled the investing for thirty-five years, and after he was gone she started paying attention to things she had let him carry. The Roth conversion question came up almost immediately. She had heard the term for years without ever needing to know what it meant.

So she asked around, the way careful people do.

Her brother-in-law, a retired engineer, had converted a few years earlier and could not stop talking about it. He told her she was leaving money on the table.

A friend at church told her the opposite. Her friend's advisor said Roth conversions were almost always a mistake. Pay tax now to save it later? That is not how smart people build wealth. The friend repeated it the way people repeat things that sound settled.

Then her financial magazine ran a long piece on conversions and told her to wait. Rates might come down. Nobody could say. The author quoted three experts who disagreed with each other.

Three sources she trusted. Three different answers. Patricia did what most people do when the advice conflicts and the stakes are high.

She decided to decide later.

She was not frightened of the decision and she was not lazy about it. She simply could not tell which answer was right, and nothing was on fire, and there was always next year. That is how five years go by.

## What Waiting Cost Her

Here is the bill. It is worth reading slowly, because almost none of it looked like a cost while it was happening.

From seventy-three onward the IRS required Patricia to take money out of the IRA whether she wanted it or not. She did not want it. She did not need it for living expenses. She paid tax on it anyway, every year, at single-filer rates, because Tom was gone. **Approximately \$379,000.**

Those same withdrawals pushed her income past the Medicare surcharge threshold in most years, so her premiums rose on income she never asked to receive. **Approximately \$32,000.**

And the account she never touched kept growing, and the tax bill attached to it grew at exactly the same rate. By the time her two children inherited, the IRA she had left alone was worth roughly \$1.58 million. Both children are in their peak earning years. Under a rule that changed in 2019 they have ten years to empty it, and every dollar is taxed on top of the salaries they already earn. **Approximately \$447,000, payable by her children, beginning the year after the funeral.**

**Around \$858,000 on a million-dollar account, most of it avoidable.**

Patricia never made a bad decision. She never made a decision at all. On a retirement account, those are not the same thing, and the second one is usually more expensive.

## **Nothing Is the Default, and the Default Is Not Free**

This is the part worth sitting with, because it is the opposite of how the decision feels.

Waiting feels safe. It is the one option that requires no paperwork, no tax bill, and no phone call. Every other choice asks something of you.

But a traditional IRA is not a parked car. It compounds, and the tax owed on it compounds at exactly the same rate, and the years in which you have the most control over that tax are the early ones. Not deciding is not neutral. It is an active choice to

let the balance and the bill grow together, and to hand whatever is left to someone else at their tax rate rather than yours.

Almost everyone who loses money on this decision loses it the same way Patricia did. Not by converting wrong. By never quite getting around to it, or by starting and then stopping when something surprised them.

## The Question She Was Asked Was the Wrong One

It would be easy to read all that and conclude Patricia should have listened to her brother-in-law. That is not the lesson, and if it were, this would be a much shorter book.

Every person she asked was answering the same question:  
*should you convert, yes or no?*

That question has no good answer, which is exactly why she collected three of them. It is like asking whether you should take the highway. It depends on where you are going, when you need to be there, and what the traffic is doing. Anyone who answers confidently without knowing those things is describing their own trip.

The real decision is not one lever. It is several, and they are wired to each other in ways that are not obvious and are not printed on any chart.

Here is one that surprises nearly everyone.

**When you claim Social Security is a Roth conversion decision.**

Almost nobody files it that way. One is a retirement income question, the other is a tax question, and they live in different drawers. But every dollar of Social Security you switch on adds taxable income, and that income occupies room you would otherwise have used to convert cheaply. Claiming at sixty-seven instead of seventy can consume roughly forty-five thousand dollars a year of conversion capacity, in precisely the years when conversion costs the least. Those years do not come back.

That is not a tip. It is an example of how this decision behaves.

**Where your tax bracket ends and where your Medicare threshold begins are two different numbers, measured two different ways,** and the second one arrives first. Filling your bracket to the top, which is the single most common piece of Roth advice in print, puts a married couple over the Medicare line automatically. Not sometimes. By construction.

**What your children earn changes your answer.** Not theirs. Yours.

**Which of you outlives the other changes it again,** because the survivor files alone, in brackets half as wide, on income that barely fell.

Move any one of these and the others move. That is the whole reason three intelligent people gave Patricia three different answers and all of them were right about something. None of them had the other numbers. Two of those numbers were not hers to know.

## What This Book Does

It gives you the machinery. How a conversion actually works, what it switches on and off, where the thresholds sit, and why the ones that matter most are not on a tax bracket chart. It walks through the two ways people actually lose money here, neither of which is the one most readers are worried about, and what each costs. Chapter 6 is devoted entirely to the situations where the right answer is to change nothing at all, because for some readers it will be, and you deserve to hear that as plainly as the alternative.

By the end you will understand this decision better than almost anyone you know, including some of the people who have offered you advice about it.

What this book will not do is tell you what to do. Not out of caution. Because the answer moves with numbers we do not have, and a book that handed you a schedule would be handing most of its readers the wrong one, confidently, in print.

So the aim here is narrower and more useful than advice. It is to get you to the point where you know which questions are actually yours, and can tell a good answer from a confident one.

You will collect a few of those questions as you read. Some of them will have your name and your account and your children in them, and no book will be able to close them. Keep track of those. They are the ones worth an hour of somebody's time, and the ones Patricia never got around to asking.

## **If You Want to See Your Own Numbers**

At any point while reading this, or after, if you want to see what these decisions look like with your actual numbers, contact whoever gave you this book. They will set you up with a free Roth Reality Check, sponsored by the Retirement Education Network.

The call takes 30 to 60 minutes. You bring your income, your savings, where your money is held, and a rough sense of your tax situation. The advisor plugs your figures into planning software and shows you what your options actually look like. Convert. Don't convert. Or the third answer, the one that is neither.

You will see them side by side. With your numbers. Not a textbook example. Yours.

There is no cost and no obligation. If one of the paths clearly fits your situation, you will know. If none of them do, you will still leave with a far clearer picture than you walked in with.

# The Five Mistakes

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Here they are, before you read another page. Each one costs real money, each one is common among careful people, and each one is caught by a question you can ask out loud. The rest of the book is why each of them happens.

**1. Converting before you take the year's required withdrawal.** Once you are at the age where the IRS requires annual withdrawals, that withdrawal has to come out first and cannot be converted. Convert it by mistake and you have made an excess contribution to your Roth, which carries its own penalty until you unwind it. Nobody catches this for you.

*The check: if you are at required-withdrawal age, ask your custodian to confirm this year's required amount has already been distributed before any conversion is processed.*

**2. Stopping the moment something surprises you.** This is the most expensive mistake in the book and almost nobody names it. Somewhere in a multi-year conversion, something unexpected arrives in the mail. Usually it is a Medicare surcharge nobody warned you about, because the top of your tax bracket and the Medicare threshold are two different numbers measured two different ways, and filling the 22

percent bracket as a couple clears the Medicare line by roughly \$29,000 automatically. Not sometimes. By construction.

Crossing it is often the right call. Being ambushed by it, with no way to judge whether it is trivial or ruinous, is what does the damage. Chapter 3 is a man who abandoned a plan that was working, over a surcharge worth about \$2,300 a year, and it cost his family roughly \$2.8 million.

*The check: before you convert, ask what your modified adjusted gross income will be, not what bracket you will be in, and ask what the surcharge would cost if you cross. A number you have already been quoted cannot frighten you later.*

**3. Paying the conversion tax out of the IRA itself.** The tax has to come from somewhere. If it comes out of the account you are converting, you have shrunk the balance you were trying to protect and, before 59 and a half, added a penalty on top. The whole strategy is meaningfully weaker.

*The check: ask whether you have enough outside the retirement account to cover the tax bill for every year of the plan, not just the first one.*

**4. Planning as a couple and forgetting that one of you will file alone.** The year after one spouse dies, the survivor files as a single filer for the rest of their life. The brackets halve, the standard deduction drops by roughly \$17,000, and the Medicare thresholds halve too. Income barely falls. Tax rises. Chapter 4 is what that costs.

*The check: ask to see the plan run twice, once with both of you and once with whichever of you is likely to be left.*

**5. Leaving a traditional IRA to children in their peak earning years.** Since 2019, most adult children have ten years to empty an inherited IRA, and those ten years usually land in the highest-earning decade of their lives. Every dollar is taxed at their rate, not yours. Chapter 5 is what that costs.

*The check: ask what tax bracket each of your children is in right now, then ask what your account would cost them if they inherited it this year.*

None of these five are exotic. All of them are ordinary, and all of them are permanent once they happen. That is the whole reason this book exists.

# The Roth Conversion in Plain English

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Before the stories, the mechanics. If you already know exactly how a Roth conversion works, skip ahead to the next section. If you are even slightly unsure, these two pages will make the rest of the book easier.

## What a Conversion Is

A Roth conversion moves money from a traditional IRA, 401(k), 403(b), or similar pre-tax retirement account into a Roth IRA. In the year you convert, the amount you move is added to your taxable income and you pay ordinary income tax on it. That is the cost. Everything after that is the benefit.

You do not have to convert everything, and you do not have to convert all at once. You choose the amount and the timing, and you can convert a slice this year, another slice next year, and stop whenever you want. That flexibility is the raw material every strategy in this book is built from.

## What Changes After You Convert

Four things, and each one matters:

- **The IRS stops requiring withdrawals.** Traditional accounts force you to take Required Minimum

Distributions, starting at 73 if you were born between 1951 and 1959, and at 75 if you were born in 1960 or later.<sup>1</sup> It is worth checking which one applies to you, because a great deal in this book turns on how many years you have before that date. Roth IRAs have no required withdrawals for you or your spouse. Money you do not need can stay put and keep growing.

- **Growth stops being taxed.** Every dollar of gain inside the Roth is yours. There is no tax bill building up alongside the balance.
- **Withdrawals stop being taxed.** Once you are 59 and a half and your Roth has been open at least five years, everything you take out, principal and growth alike, is free of federal income tax.
- **Your heirs inherit it tax-free.** They still have to empty the account within ten years, but every dollar they withdraw from an inherited Roth is theirs to keep.

## Two Rules Worth Knowing Before You Start

**The five-year rule.** The money you convert has already been taxed, so at 59 and a half or older you can withdraw converted amounts at any time without tax or penalty. The growth is different. For earnings to come out tax-free, you must be 59 and a half or older and a Roth IRA must have been open in your name for at least five years. The clock starts on January 1

of the year of your first contribution or conversion, and one clock covers all your Roth IRAs.<sup>2</sup> If you have never had a Roth before, this is a reason to start the clock sooner rather than later.

**The RMD comes first.** If you are already at RMD age, the IRS requires you to take that year's full RMD before you convert anything. The RMD itself cannot be converted. It comes out, it gets taxed, and only then can you convert additional dollars on top of it. Get this wrong and nobody unwinds it for you. The converted RMD becomes an excess contribution to your Roth, and it carries a penalty for every year it sits there uncorrected.<sup>3</sup> Custodians generally do not catch it, which means the mistake is silent, it compounds, and finding it is your job.

That is the whole machine. Money moves across, tax gets paid once, and four permanent advantages switch on. The rest of this book is about the part the mechanics do not tell you: how much to convert, when, and whether to do it at all.

# The Decision You Cannot Take Back

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Most financial decisions can be undone.

If you buy a stock and change your mind, you sell it. If you take out a mortgage and rates drop, you refinance. If you hire a financial advisor and the relationship is not working, you find a new one. Almost every choice you make about your money is reversible, with some friction, some cost, and some patience.

A Roth conversion is not one of those decisions.

Once you convert, the conversion is done. The tax has been paid. The money is in the Roth. There is no undo button. There is no form to file that puts the money back where it was. There is no “I changed my mind” provision in the tax code. Whatever you decided, you decided, and you live with it for the rest of your life.

This is the reason regret runs so deep around Roth conversions. The decisions that haunt people are almost always the permanent ones. The ones where you cannot go back and try again. The ones where the cost of getting it wrong is locked in the moment you make the call.

For most retirees with substantial IRAs, the Roth conversion question is one of the largest permanent financial decisions they will ever make.

## **What Permanent Actually Means**

Until 2018, you could undo a Roth conversion. The technical name was a recharacterization. If you converted in March and decided by October that you had made a mistake, you could move the money back into a traditional IRA and the conversion was treated as if it had never happened. The taxes you had paid were refunded. The decision was reversible.

That option no longer exists. Congress eliminated it in the Tax Cuts and Jobs Act.<sup>4</sup> Since 2018, every Roth conversion is final on the day it happens. You cannot undo it next month. You cannot undo it next year. You cannot undo it ever.

This change is one of the reasons getting the conversion right matters so much more now than it did a decade ago. The retirees who started thinking about Roth conversions in the early 2000s had a safety net. The ones thinking about it today do not.

If you convert too much, you cannot pull back the excess. If you convert at the wrong time and trigger a Medicare cliff, you cannot undo the conversion to fix it. If you convert and then your situation changes, the money is in the Roth and the tax has been paid.

The same is true of not converting. If you decide to leave your traditional IRA alone and the years pass, you do not get those years back. The window where you had the lowest brackets, the most flexibility, and the longest runway closes a little more each year. By the time you realize you should have converted earlier, the most efficient years are behind you.

Both directions are permanent. Both directions create regret when they go wrong.

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*The decisions that haunt people are almost always the permanent ones.*

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## What People Actually Regret

When advisors talk to retirees who have been through a Roth conversion, the regrets fall into a small number of patterns.

Some retirees regret converting too much, too fast. They moved decisively, paid a large tax bill, and then watched their situation change in ways that made the conversion look much less smart in hindsight. Maybe their income dropped. Maybe their spouse passed earlier than expected and the survivor benefit math shifted. Maybe a tax law change created a benefit they could not access because the money was already in a Roth. The conversion was not necessarily wrong. It was just bigger than it needed to be, or earlier than it needed to be, or done without enough consideration of the years that followed.

Other retirees regret never converting at all. They thought about it for years, talked themselves out of it, and watched their traditional IRA grow into a problem they no longer had the time or flexibility to solve. By the time they understood what they had built, they were in their late seventies or eighties, watching RMDs push them into brackets they could not escape, and knowing that whatever was left would land on their children with a tax bill attached.

Some retirees regret the way they did the conversion. The decision itself was right, but the execution missed details that cost them. They paid the conversion tax from the IRA itself instead of from outside money, eroding the very benefit they were trying to create. They crossed Medicare cliffs they did not know existed. They timed the conversion poorly relative to their Social Security claim. The conversion worked, in the sense that it happened, but it cost more than it needed to. Usually that is a five-figure regret rather than a life-changing one, which is worth knowing, because the fear of making it is what stops a great many people from converting at all.

A few retirees regret nothing. They are the ones who took the time to look at the full picture before they decided. They saw their own numbers, considered their own family, and made a choice that fit their situation. Whether they converted or not, they made the decision with their eyes open. Those retirees do not lie awake wondering what they should have done. They already know.

# Why This Book Exists

This book is for the retirees who do not want to spend the rest of their lives in the first three groups.

The decision you are facing is permanent. It deserves more than a quick conversation with your brother-in-law, a generic answer from your CPA at tax time, or a magazine article written for a generic reader. It deserves a real look at your real situation, with all the pieces on the table at the same time.

Patricia, whose story opened this book, made a permanent decision by never making one. Robert, whom you will meet in chapter 3, made his and then unmade half of it. Both of them, looking back, said the same thing in different words. They wished they had taken 60 minutes to look before they decided.

You have time to do what they did not.

The next chapter lays out the three choices in front of you. Once you understand the choices, the rest of the book walks you through what tends to go wrong with each one, and how to tell which one is right for your situation.

By the time you finish, you will have done what Robert and Patricia did not get to do. You will have looked.

*Nothing in this chapter needs deciding today. But the one hour that is worth the most is the one before a permanent decision, not the one after. If you are anywhere near this question, that hour is available and it costs nothing.*

# The Three Choices In Front of You

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When most people start thinking about a Roth conversion, they think it has two answers.

Convert. Or don't.

Yes. Or no.

That is not how the decision actually works. The yes/no framing is what most articles describe, what most advisors at most firms ask about at tax time, and what most retirees default to when someone brings the subject up at a dinner party. It is the framing that produced Patricia's five years of not deciding, and Robert's decision to stop after three.

The Roth decision has three answers, not two.

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*Three paths. You have probably been told there are two.*

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## Path 1: Don't Convert

Keep your traditional IRA the way it is. Let it grow. At 73 or 75, depending on the year you were born, the IRS will require you to start taking annual distributions. Each one gets taxed as

ordinary income at whatever rate is in effect that year. When you pass, what's left in the account goes to your heirs. Most heirs are required by law to empty the inherited account within ten years, paying tax on every dollar they withdraw, usually during the highest-earning years of their lives.

This is the default path. It is what happens if you do nothing.

For some families, Path 1 is the right answer. We will get to who those families are in chapter 6. For most readers of this book, the cost of Path 1 is hidden, because it gets paid in small pieces across decades, by you and then by your children. The total cost is only visible when you add it all up at the end.

This is the path Patricia took without choosing it.

## **Path 2: Convert**

Move your traditional IRA into a Roth. Pay the federal income tax on the converted amount in the year you convert. From then on, the money grows tax-free. Withdrawals in retirement are tax-free. When you pass, your heirs inherit a Roth, and while they still must empty the account within ten years, every dollar they take out is tax-free.

This is the path most popular books and articles recommend, and most of them recommend it with some urgency. Pay the tax now. Lock in today's rates. Get the IRS out of your retirement accounts before things get worse.

That urgency is usually asserted rather than explained, so here is the case for it, stated plainly enough that you can decide what you think.

## **Why the timing question is live right now**

Two things are true at the same time, and they pull in opposite directions.

**Tax rates are low by the standards of the last century.** The top federal rate today is 37 percent. It has been considerably higher for most of living memory: 94 percent in the last years of the Second World War, above 90 percent for the two decades after it, 70 percent until 1981, and near 40 percent through the 1990s. The current brackets are among the four lowest hundred-year stretches on record.<sup>5</sup> Nobody can tell you what Congress does next, and anybody who claims to is guessing. What can be said is factual and narrow: today's rates are historically low, and the tax you pay on a conversion is calculated at today's rates, permanently.

**Your account balance is probably near its high.** This is the part that cuts the other way. Your conversion tax is calculated on the balance the day you convert, so a larger balance means a larger tax bill for the same account. Converting a million-dollar IRA costs more than converting the same IRA did when it held six hundred thousand.

Put those together and you get the honest version of the urgency, which is more interesting than the sales version. Rates are low, which argues for converting. Balances are high, which argues for care about how much you convert in any single year. Neither fact tells you what to do. Together they tell you that this is a live question with real money attached, and that it is a better time to look at it than to keep not looking at it.

Chapter 8 comes back to the balance side of this, because it turns out to matter after the conversion as much as before it.

Path 2 is sometimes the right answer, and it is a great deal better than Path 1. The version most people actually run is a plan spread across years, which is what Robert did in chapter 3. His plan was sound. What undid it was a surprise in year three that he had no way to size, and the pause he took to think about it, which cost his family approximately \$2.8 million.

This is not because Robert was careless or unintelligent. It is because doing Path 2 well requires modeling that no individual can do in their head, and that most basic spreadsheets cannot capture.

**An aside on what the tax actually costs.** Many retirees never get this far because the sticker price scares them off. They picture their tax bracket, multiply it by the conversion, and walk away. The real number is usually smaller. Tax brackets are marginal: the converted dollars fill the lower brackets first, and only the top slice gets taxed at your top rate. A married couple with \$40,000 of taxable income who convert \$100,000 stay inside the 22 percent bracket, but their actual federal tax on the converted dollars works out to just under 16 percent.<sup>6</sup> The bracket chart says 22. The check they write says 16. Later chapters show how interactions can push the true cost higher when a conversion is sized carelessly. The point here is the opposite one: sized correctly, a conversion usually costs less than the bracket number you are afraid of.

## Path 3: Neither Yes Nor No

Convert, but not all at once, and not the same amount every year. Convert across several years, with each year's amount built around what that particular year actually looks like for you.

That is nearly all this book is going to say about how such a plan gets built, and the reason is not coyness. The answer moves with your bracket, your Medicare tier, your spouse's situation if one of you outlives the other, your heirs' brackets, and whatever income events you have coming. Change any one of those and the plan changes with it. A book that handed you a schedule would be handing most of its readers the wrong one, confidently.

Path 3 is what Patricia would have benefited from if anyone had shown it to her. It is also, roughly, what Robert had already built for himself before he abandoned it. Neither of them knew there was a name for it, or anyone to ask about it.

Path 2 is a math problem. Convert this much, pay this tax, repeat. Anyone with a spreadsheet and an afternoon can run the basic version, and it works. Robert did, and his spreadsheet was accurate. What it could not do was tell him what to make of the one thing it had not predicted.

Path 3 is not a slower version of that. It is the same decision made with the rest of your tax return in view.

What matters in this chapter is only that the third answer exists. The question in front of you is not yes or no. There is a third answer, most people are never shown it, and finding out whether it fits you takes an hour and your own numbers rather than a framework.

This is the kind of planning you do once in your life. The advisor sitting across from you does it regularly, for families whose situations rhyme with yours. That asymmetry, between someone making this decision once and someone who works through it routinely, is most of what separates the retirees who get this right from the ones who do not.

# Why You Have Been Getting Conflicting Advice

If you have been confused about Roth conversions, that is not because you are missing something. It is because the decision genuinely depends on factors that vary from one person to the next. Three people can ask the same question and get three different right answers, because the question they are asking has more than one right answer.

Your brother-in-law swears by Roth conversions because for his situation, converting was the right call. He is giving you his answer to his question, not your answer to your question. The conversion that worked for him was built around his bracket, his spouse, his heirs, and his timeline. None of those are yours.

Your CPA may wave you off a conversion because their job is to minimize this year's tax bill. A Roth conversion raises this year's tax bill. So when you bring up a conversion, their first instinct is often to talk you out of it, or at least to slow you down. They are not being obstructive. They are doing their job. The problem is that their job and the Roth conversion question are not the same problem. Your CPA is looking at this year. The conversion question is about the next twenty years, plus the ten years after you are gone when your heirs are emptying the account.

The magazine article you read had to be written for a generic reader. The author had no way to know your bracket, your

spouse's situation, your charitable plans, your state, your health, your heirs, or your existing Roth balances. So the article gave you a framework with caveats and trusted you to apply it to yourself. The framework was probably reasonable. The caveats were real. The problem is that you are not generic.

Each of these sources is partly right. None of them has the full picture.

The point of this chapter is simpler. There are three paths. You have probably been told there are two. The third path is the one most people never see, which is the reason most people end up regretting their decision in one direction or the other.

The next chapter is about Robert, who took Path 2, ran it well, and stopped. The chapter after it puts numbers on the five years Patricia spent not deciding.

By the time you finish them both, you will have seen the two ways people actually lose money on this decision, and neither of them is the one you are probably worried about.

*If you already know which of the three you have been leaning toward, that is worth testing before you act on it. Ask whoever gave you this book to show you all three run against your own numbers, including the one you were not leaning toward.*

# The Regret of Stopping Too Soon

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Robert did everything a careful person would do, and then he stopped.

He retired at 63 with about \$1.8 million in his traditional IRA, roughly \$500,000 in a brokerage account outside it, and a wife, Linda, two years younger than him. He had been a careful saver his whole life. He paid his mortgage off three years early. He read the financial sections of two newspapers every Sunday. He read about Roth conversions for nearly a decade before he made a move. When he finally decided to convert, he did not panic and convert everything at once. He built a plan.

The plan was based on a concept called bracket filling. The idea is straightforward. Each year, you convert just enough to fill your current tax bracket without crossing into the next one. That way you pay tax at the rate you are already in instead of pushing yourself into a higher one. It is sound advice. Every reasonable article on Roth conversions describes it.

Robert worked out that filling the 22 percent bracket to the top meant converting roughly \$182,600 a year. He paid the conversion tax from his brokerage account so the money inside

the Roth could grow untouched. He delayed Social Security to 70 to keep his taxable income low while the conversions ran. On paper it was a good plan. It was, in fact, a better plan than he ever found out.

He ran it for three years. Then a letter arrived, and he stopped.

Stopping cost his family approximately \$2,821,850.

That is not a misprint, and it is not the cost of the mistake he thought he had made. The thing that frightened him into stopping was worth about \$2,300 a year. This chapter is about the difference between those two numbers, and about why a careful person walks away from a plan that was working.

## **Why a Bracket Chart Lies**

A federal tax bracket tells you the marginal rate on the next dollar of ordinary income. What it does not tell you is what else that dollar will trigger.

When you add income from a Roth conversion, the converted dollars do not just sit in your tax bracket. They reach out into the rest of your tax return and pull other numbers along with them. Several things happen at once.

More of your Social Security becomes taxable.

Long-term capital gains that would have been taxed at zero or 15 percent can get pushed into the 15 or 20 percent range.

Medicare premiums two years from now can climb into a higher tier.

Deductions that phase out based on income can shrink or disappear entirely.

A separate 3.8 percent surtax on investment income switches on once your income crosses \$250,000 as a couple.<sup>7</sup> The converted dollars are not themselves subject to it, but they raise the income figure that decides whether your interest, dividends, and capital gains are.

Each of these effects adds tax that does not show up on the bracket chart. Together, they form what financial planners call the tax torpedo. The shape of it is invisible until the year is over, and by then the conversion is permanent.

The arithmetic of the worst case is worth walking through, because it is not a rare accident. It is a well-understood interaction with a specific number attached. A married couple sitting in the 12 percent bracket, drawing Social Security, holding appreciated investments, converts a slice of their IRA. Each converted dollar also makes 85 cents of Social Security taxable.<sup>8</sup> So each dollar is taxed at 12 percent, and so is the 85 cents it dragged in with it:  $12 \times 1.85$ , or 22.2 percent. Meanwhile the same stacking pushes long-term capital gains out of the zero percent rate and into the 15 percent rate, and that also applies to the dollar and the 85 cents alike:  $15 \times 1.85$ , or 27.75 percent.

Add those together and the marginal rate on the converted dollars is **49.95 percent**.<sup>9</sup> Not the effective rate on their whole return, which stays low. The rate on the money they just moved.

They never changed brackets. The chart on their desk said 12 percent the entire time. The real cost of the decision was more than four times that, and if the year's income also cleared a Medicare threshold, higher still.

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*The chart said 12 percent. The money moved at 49.95.*

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## What He Saw in the First Three Years

Robert's situation was less dramatic than that case, but the same pattern was at work, and the first two years gave him no warning of it.

He had delayed Social Security, so his only income was the conversion itself and a little interest. The bracket math worked exactly as advertised. His spreadsheet predicted his tax bill and his tax bill matched the prediction. He felt good about the plan, and he was right to. The plan was working.

That is worth saying plainly, because of what happens next. Nothing had gone wrong. Robert was two years into a sound

strategy, executing it competently, with results that matched his own projections.

Then the mail came.

## **The Letter From Social Security**

In the third year of his plan, the same month he enrolled in Medicare at 65, Robert received a letter from the Social Security Administration. His Medicare Part B and Part D premiums were going to be higher than the standard ones.

The reason was buried in the fine print. His income from two years earlier, the first year he converted, had crossed a threshold. He was now subject to something called IRMAA, the Income-Related Monthly Adjustment Amount. The surcharge would apply for the year, then he would be reassessed against a more recent return.

That timing is worth sitting with. Robert's very first conversion had already set his Medicare premiums before he was old enough to enroll in Medicare, and he found out about it on the way in the door.

Robert had never heard of IRMAA before the letter arrived.

IRMAA is a surcharge added to Medicare Part B and Part D premiums when your income crosses certain thresholds. The standard Part B premium in 2026 is about \$202.90 per month for someone with income below the first threshold.<sup>10</sup> Above each threshold, it rises in steps. At the top tier, the same Part B

coverage costs about \$689.90 per month. The Part D premiums work similarly, with surcharges added on top of whatever drug plan premium you already pay.

For a married couple, the surcharges apply to both spouses individually. Each spouse pays IRMAA based on the household's income.

Two features of IRMAA make it particularly dangerous for someone running a DIY Roth conversion.

The first is the two-year lookback. Your Medicare premiums in any given year are based on your tax return from two years earlier. In 2026, your premiums are based on your 2024 income.<sup>11</sup> This means a conversion you do today does not affect your Medicare premium today. It affects your Medicare premium two years from now. By the time the surcharge arrives, you may have done two more conversions on top of the first one, each one queued up to trigger its own surcharge later. You cannot undo any of them.

The second feature is the cliff structure. IRMAA does not phase in. It cliffs. One dollar below the threshold, you pay nothing extra. One dollar above it, you pay the full surcharge for that tier, for the entire year, for both spouses.

In 2026, the first IRMAA threshold for a married couple sits at \$218,000 of modified adjusted gross income. A couple at \$218,001 pays about \$1,148 per spouse for the year, once the Part B and Part D surcharges are added together. That is

roughly \$2,300 in extra premiums for a single dollar of income that crossed the line. Higher tiers cost more. At the very top tier the two surcharges together come to close to \$7,000 per spouse per year.<sup>12</sup>

For one dollar of income.

And because each year of a multi-year conversion plan is looked back on separately, a plan that sits above the line does not pay this once. It pays it every year it stays there.

## Where Robert's Plan Cracked

Robert's bracket-filling plan was built around the top of the 22 percent federal bracket. In 2026 numbers, that meant filling income up to about \$211,400 of taxable income. He left himself a small margin under the line and felt he had been careful.

What Robert did not realize is that the Medicare threshold is not measured the same way. It sits at \$218,000 of modified adjusted gross income, and modified adjusted gross income is calculated *before* the standard deduction comes out. Taxable income is calculated *after*.

Put those two facts side by side and something uncomfortable falls out. A married couple, both over 65, filling the 22 percent bracket exactly to the top has \$211,400 of taxable income. Add back the standard deduction they are entitled to, about

\$35,500, and their modified adjusted gross income is \$246,900.<sup>13</sup>

The Medicare line is \$218,000.

Filling the 22 percent bracket does not risk crossing the first Medicare threshold. It clears it by roughly \$28,900, automatically, by construction. Anyone who fills that bracket as a couple is over the line before they add a dollar of Social Security, interest, or required withdrawals. The two numbers were never compatible, and no article Robert read had put them on the same page.

He was right about the bracket. He was wrong about the threshold. He had not crossed the cliff in some years and missed it in others. He had crossed it in every single year he ran the plan, and he would cross it in every year he continued.

The cost of that, for the two of them, was roughly \$2,300 a year. Across the three years he ran the plan, about \$6,900.

Robert did not know that figure. That is the whole problem, and we will come back to it, because it is the reason this chapter exists.

What he knew was that he did not have a math problem. He had a model problem. The model he was using to plan the conversion was not capable of seeing the thing that had just happened to him, which meant he could not trust it to tell him what would happen next.

# Why He Stopped

Robert did not stop because he ran the numbers and decided to.

He stopped because he could not run the numbers at all.

Here is what he actually knew in the spring of his third year.

He knew there was a threshold he had never heard of. He knew he had been over it, unknowingly, since the first conversion. He knew the surcharge was already being deducted from his Social Security and would be for at least two more years, because of a lookback he had also never heard of. And he knew that the plan he had spent a decade reading about had a hole in it that none of his reading had mentioned.

What he did not know was how big the hole was.

That is the part that matters. He was not weighing a \$2,300 annual surcharge against the value of continuing. He had no idea it was \$2,300. For all he could tell it was the first crack in something much worse, and every article he found afterward made it sound worse, because articles about Medicare surcharges are written to be alarming and none of them are written about him.

So he did what a careful person does when they discover an error they cannot size. He stopped, to avoid making it bigger.

He told himself it was a pause. He would sort out the Medicare question, reassess, and resume in a year or two once he

understood it properly. He never did resume. There was no moment where he decided not to. The following year his accountant did not raise it, and the year after that he had other things on his mind, and by the time the traditional IRA was generating required withdrawals on its own, the years when a conversion would have been cheap were behind him.

The pause became the decision. It usually does.

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*He gave up \$2.8 million to avoid something that had cost him \$6,900.*

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## What the Pause Cost

Robert converted for three years and stopped at 66. He moved roughly \$550,000 out of the traditional IRA before he did.

Had he simply carried on with the plan he was already running, unchanged, his family would have kept approximately **\$2,821,850 more** than they did.

The money did not vanish anywhere dramatic. The unconverted balance kept compounding, and so did the tax attached to it. Required withdrawals started at 73 on a much larger account than he would otherwise have had, taxed every year for the rest of his life. Linda inherited what was left and paid tax on it as a single filer. Their children inherited the remainder and emptied it over ten years, in their forties and fifties, on top of the salaries they already earned.

None of that felt like the consequence of a decision made at 66. That is what makes it dangerous. The bill arrives decades later, in installments, to people who were not in the room.

The surcharge that stopped him came to about \$2,300 a year, roughly \$6,900 across the three years he ran the plan.

**He gave up about \$2.8 million to avoid something that had cost him \$6,900. Four hundred times over.**

WHAT HE AVOIDED, AND WHAT IT COST

**The surcharge that made him stop**

— \$6,890

**What stopping cost his family**

\$2,821,850

**Both bars drawn to the same scale.**

*Approximate figures from Robert's illustrative plan. Both bars are drawn to the same scale.*

## The Part That Is Hardest to Hear

Robert was not wrong about the Medicare threshold. It was real, he was over it, and nobody had told him.

He was wrong about what it meant.

Filling the 22 percent bracket and paying the surcharge was, for his situation, the better of the two available choices. Running the same plan sized to stay underneath the Medicare line instead would have converted less each year, taken longer, and

left more of the account unconverted when he died. On his numbers, the careful-looking version was worth roughly \$93,500 less to his family than the version he was already running.

Robert quit a plan that was beating the alternative, over a cost that was real, small, and worth paying.

He did not need better information. The information was correct. What he needed was somebody who had seen this exact letter arrive at this exact point in a dozen other plans, and could have told him in ten minutes that it was a rounding error, that his instinct to stop was the expensive one, and that the right response was to keep going.

That conversation would have taken less time than the reading he did afterward.

## What Robert Wished

Robert is not stupid. He did more reading on Roth conversions than 99 percent of retirees ever will. He understood the rules. He understood the math as he had been taught it. He had spent a decade thinking about the decision before he made it.

What he did not have was anyone who could tell him, when something unexpected happened, whether it was a rounding error or a catastrophe. Every plan produces one of those moments. His arrived in year three, in an envelope, with no context attached and no way to get any.

When Robert talks about it now, he says the same thing every time. He does not wish he had converted differently. He wishes he had had somebody to call the week that letter arrived.

*If you are running a conversion plan of your own, decide now who you would call the first time something unexpected happens, because something will. The most expensive moment in a plan like this is rarely the day you start it. It is the day you are given a reason to stop and have no way to judge it.*

# The Regret of Waiting Too Long

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You met Patricia in the introduction. This chapter is the accounting.

Her story is short and it does not have a villain in it. She retired at 65 with about a million dollars in a traditional IRA, asked three people she trusted what to do about it, got three different answers, and put the decision off until it was no longer hers to make. Nothing else happened. That is the whole story.

What makes it worth a chapter is that a non-decision is much harder to see than a wrong one. A wrong decision can be examined. You can look at what somebody chose and find where the reasoning broke. A non-decision leaves no trace at all. It is a slow accumulation of years in which nothing happens, no commitment is made, and the situation drifts in whatever direction it was already heading. By the time anyone notices, the years are gone and so are the options.

So the rest of this chapter does what nobody did for Patricia while it was happening. It puts a number on each year of not deciding.

# What Waiting Actually Costs

The cost of waiting is invisible while you are waiting.

Each year Patricia did not act, her IRA grew. From the outside, that looked like a good thing. The balance was getting bigger. The market was generally cooperating. Her statements arrived showing modest gains. There was no obvious reason for alarm.

Inside the math, something else was happening. Each year of growth made the eventual RMD bill larger. Each year of waiting moved her closer to age 73, when the choice would no longer be hers to make. Each year of compounding inside the traditional IRA was, in effect, a year of compounding the future tax bill.

This is the part that the brother-in-law-versus-magazine debate misses entirely. The Roth conversion question has a deadline that nobody mentions. The deadline is not a date on the calendar. It is the closing of the window during which you have flexibility.

While you are between retirement and your required-withdrawal age, you have the most control you will ever have over your taxable income. Your wages have stopped. Your required withdrawals have not started yet. You are in what financial planners call the gap years. These are the years when conversions cost the least, fit the cleanest, and have the longest runway to grow tax-free.

After that date, the IRS starts taking money out of your traditional IRA whether you want it out or not. The RMDs become a floor of taxable income that you cannot reduce. You can still convert on top of them, but the conversions land on top of income you no longer control. The math gets harder every year.

How much room is left depends on your balance, your other income and your health, and it is one of the few things in this book that a short conversation can settle quickly.

Patricia did not see this clock running. Nobody had ever told her it existed.

## **What the RMDs Actually Did**

When Patricia turned 73, the IRS forced her to take her first required minimum distribution. By that point her IRA had grown from \$1 million to approximately \$1.43 million. Her first year's RMD was \$54,015.

That number, on its own, did not seem catastrophic. Patricia could afford to take the money. She did not need it for living expenses, but she could absorb the tax. She paid the bill, irritated, and moved on.

What Patricia did not realize was that \$54,015 was the smallest RMD she would ever take.

The IRS calculates RMDs by dividing your account balance by a life expectancy factor that gets smaller every year. At 73, the

factor is 26.5. At 80, it is 20.2. At 85, it is 16.0.<sup>14</sup> The smaller divisor means a larger percentage of your balance comes out every year, even if the balance is shrinking.

Combined with continued growth on the unspent balance, Patricia's RMDs climbed steadily. By age 80, her RMD was about \$74,000. By 85, it was over \$90,000. Each year, the entire RMD amount got added to her taxable income on top of her Social Security and her late husband's pension survivor benefit.

Her taxable income kept her squarely in the 24 percent bracket as a single filer. She was paying more federal income tax in retirement, on less income, than she and Tom had paid when they were both alive and both working.

There is no way to opt out of this. Once you are in RMD territory, the IRA is generating taxable income whether you want it to or not. The only way to reduce future RMDs is to reduce the balance in the traditional IRA before they start, which is exactly what a conversion does. Patricia had not done that.

Her cumulative federal income tax from 73 onward came to approximately \$379,000, and roughly \$320,000 of that was tax on money the IRS forced her to take and she did not need. On top of it, the same withdrawals pushed her over the first Medicare threshold in most years, adding about \$32,000 in

surcharges. All of it taxed at brackets she could not control, in years when she had no flexibility left.

## **The Penalty That Hit When Tom Died**

There is one more layer to Patricia's regret. It is the layer she did not anticipate at all.

When Tom passed at age 72, Patricia became a single filer for the rest of her life.

This is a tax change most retirees do not see coming. While both spouses are alive, you file jointly. The tax brackets are wider. The standard deduction is doubled. The Medicare premium thresholds sit higher. After one spouse passes, the survivor files as a single filer the following year and stays that way for as long as they live.

The numbers are stark. In 2026, a married couple stays in the 22 percent bracket up to about \$211,400 of taxable income. For a single filer, that same bracket runs out at \$105,700, exactly half, and the 24 percent bracket takes over from there.<sup>15</sup> The same dollar of income is taxed in a higher bracket simply because of filing status.

The standard deduction for a married couple where both spouses are 65 or older is about \$35,500. For a single filer at 65 or older, it drops to \$18,150. About \$17,000 of income that used to be tax-free is now fully taxable.

The Medicare income thresholds drop by half. A married couple stays under the first surcharge tier up to \$218,000 of modified adjusted gross income. A single filer crosses that same tier at about \$109,000.

Patricia's income did not drop nearly as much as you might expect when Tom passed. She kept the larger of their two Social Security checks. She kept Tom's pension as a survivor benefit. The IRA was now hers, and the RMDs continued. Her total income for the year after Tom's death was about \$124,000.

Less income. More tax.

Filing as a single, her standard deduction dropped from \$35,500 to \$18,150. About \$17,000 of income that had been shielded was now taxable. Her taxable income rose to roughly \$106,000, which carried her just over the line into the 24 percent bracket, a bracket she and Tom had never reached together. Her federal tax bill rose by about \$5,800 a year. Her Medicare premiums rose by approximately \$1,150 a year on top of that, because the surcharge threshold for a single filer sits at half of what it was for the two of them.

Patricia was paying nearly \$7,000 more every year, on \$18,000 less income, for the rest of her life.

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*Nearly \$7,000 more in tax. \$18,000 less income. Every year she has left.*

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This is what financial planners call the widow's penalty. It is real. It is brutal. And it is one of the largest tax effects in retirement that almost nobody talks about until it has already happened.

Across Patricia's remaining years, the widow's penalty came to approximately \$131,000 in federal tax and Medicare premiums she would not have paid had Tom still been alive.

It is worth being precise about what that figure is, because it is easy to double count. It is not a separate bill arriving alongside the tax in the previous section. It is the premium buried inside it: the extra she paid on the same income, for the same withdrawals, purely because she was filing alone. Of the roughly \$379,000 she paid from 73 onward, about \$131,000 of it existed only because Tom had died first.

None of that money went to her. None of it bought her anything. It was the tax cost of being alone with a traditional IRA she had never converted.

## **What Her Children Will Pay**

The final layer of Patricia's regret will not arrive until she is gone, and it is the largest of the three.

When she passes, her two adult children inherit what is left of the IRA. Both are in their forties, both are working, and under a rule that changed in 2019 they have ten years to empty the account. Every dollar is taxed on top of the salaries they already earn, in the decade they earn the most.

Their combined federal tax on the money she leaves them comes to approximately \$447,000.

That number is not Patricia's tax bill. It is her children's, arriving in installments in the years after the funeral, on money she could have moved at her own lower rate while she was alive. The next chapter is entirely about that figure and where it comes from, because it is the part of this decision that most retirees never see coming and the part that is usually the biggest.

For now, the relevant point is that Patricia's regret is not only her own.

Add it up without counting anything twice. Approximately \$379,000 in her own federal tax. About \$32,000 in Medicare surcharges. Approximately \$447,000 payable by her children.

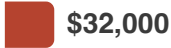
A million-dollar IRA. **Approximately \$858,000** in federal tax, most of which did not need to happen.

## WHO PAYS FOR THE NON-DECISION

### Her own federal tax, 73 to 88



### Her Medicare surcharges



### Her children's tax bill



**Total: \$858,000 on a \$1,000,000 IRA**

*Approximate figures from Patricia's illustrative case.*

## What Patricia Wished

Patricia is not stupid. She is a thoughtful, careful woman who outlived her husband and tried to do right by her family. She just got conflicting advice at a moment when she was already grieving and overwhelmed, and she did what most people do in that situation. She put the decision off for next year. Then the year after. Then the one after that.

When Patricia talks about it now, looking back, she says the same thing in different words every time. She wishes she had stopped trying to figure it out from articles and friends and sat down with someone whose entire job was to look at her specific situation. One conversation, in her late sixties, would have saved her family something close to six hundred thousand dollars.

She is right about that.

That is the regret of waiting too long. Not the regret of choosing wrong. The regret of never quite choosing at all, of letting the years pass while waiting for clarity that conflicting advice can never deliver.

The next chapter is about the layer Patricia did not see clearly when she was making her non-decision. The regret she leaves behind for her children.

*If you are married, there is a version of your plan where one of you is filing alone, and it is worth seeing it while you both still can. Ask whoever gave you this book to run your numbers twice, once for the two of you and once for whichever of you is likely to be left.*

# The Regret You Leave Behind

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You will not be there to feel this regret.

Your children will.

This chapter is about the layer of the Roth conversion question that has nothing to do with your own retirement. It is about what happens to the money you leave behind, and what your heirs will pay in tax to receive it. For families with substantial IRAs, this layer is often larger than every other factor in the conversion math combined.

Most retirees do not know it exists. The ones who do often discover it too late to do anything about it.

## What Changed in 2019

Until a few years ago, leaving a traditional IRA to your adult children was a reasonable estate planning move. The tax cost was real but spread thin. When a child inherited, they could stretch withdrawals over their own life expectancy. Someone inheriting at 45 could spread the withdrawals over 30 or 40 years. The account kept growing. The annual tax hit was small enough that it barely showed up on the heir's return.

That option is gone.

In 2019, Congress passed the SECURE Act. Inside that law was a change to the rules for inherited IRAs that, for many families, is one of the most expensive things to ever happen to their wealth. Under the new rules, an adult child who inherits an IRA must empty the entire account within ten years of the parent's death. There is no extension. There is no option to leave it growing tax-deferred for the next generation. Ten years is the maximum.

Every dollar that comes out of an inherited traditional IRA gets taxed as ordinary income on top of the heir's existing income.

If the parent was already taking RMDs at the time of death, the child also has to take annual distributions in years one through nine, with whatever is left coming out by the end of year ten.<sup>16</sup> The IRS does not let the heir wait until year ten to take the entire amount. The withdrawals have to happen along the way.

For most families with adult children inheriting in their forties or fifties, this rule change quietly turned a modest tax cost into a major one.

## Why Ten Years Is the Wrong Ten Years

Most adult children inherit IRAs in their forties and fifties. That is when their own parents tend to pass away. It is also, almost always, the highest-earning decade of their lives.

A typical adult child inheriting in this window is a working professional, possibly a peak-earnings business owner, often a married dual-income household. Their salary alone may already place them in the 24 or 32 percent federal bracket. Add an inherited IRA distribution of \$100,000 or more on top of that salary, and the inherited dollars get taxed at 32, 35, or even 37 percent, depending on how the income stacks up.

The compression is what hurts the most. The inherited money has to come out within ten years. The heir has no flexibility to wait until they retire and their bracket drops. They are forced to pull the money out during the years their tax rate is at its peak.

Congress knew this when they wrote the law. The shortened distribution window is, in effect, a way for the government to collect more tax on the money sitting in traditional IRAs by forcing it out during heirs' high-earning years instead of letting it stretch into their low-earning retirement years.

The IRS gets paid. Your children get less.

## **What Patricia's Children Will Pay**

In the last chapter, we mentioned the \$447,000 figure for Patricia's children's federal tax bill on the IRA she did not convert. Here is where that number comes from.

Patricia is expected to live to 88. By the time she passes, her traditional IRA, after years of RMDs and continued growth,

will be worth approximately \$1,583,000. Required withdrawals took money out of it every year for sixteen years, and it still finished larger than the day they started. That is the part almost nobody expects. That is what her two children will inherit, split between them.

Her son is 41 today. He is a software engineer earning about \$185,000 a year. He is married, his wife earns \$90,000, and they file jointly. Their salaries alone put them in the 24 percent federal bracket.

Her daughter is 38. She is a regional sales director earning about \$215,000. She files single. Her salary puts her in the 24 percent bracket, close enough to the top of it that any additional income tips straight into 32 percent.

When they inherit, each receives about \$791,000. Both are required to empty their inherited accounts within ten years.

Spreading the withdrawals evenly, the son pulls about \$79,000 a year on top of his household income. Every dollar of it is taxed at 24 percent, his existing top rate, because the inherited money stacks on income that already fills the brackets beneath it. His federal tax on the inherited money over ten years comes to approximately \$190,000.

The daughter, with a higher salary and as a single filer, gets hit harder. Single brackets are half as wide as joint ones, so her \$79,000 a year runs through the top of her 24 percent bracket, straight through the whole of the 32 percent bracket, and into

35 percent. Her federal tax on the same share comes to approximately \$257,000.

Together, Patricia's children will pay approximately \$447,000 in federal income tax on the money she leaves them.

That is on a \$1.58 million inheritance. More than a quarter of it will go to the IRS before either of them sees it.

## **What If Patricia Had Converted**

The math is the same inheritance, with one difference.

If Patricia had converted steadily through her late sixties and early seventies, the account she leaves her children would be a Roth instead of a traditional IRA. The same \$1.58 million. The same ten-year withdrawal requirement. The same compression.

The difference is that every dollar would come out tax-free.

Her son's \$190,000 in federal tax becomes zero. Her daughter's \$257,000 becomes zero. The combined \$447,000 stays with her children instead of going to the IRS.

It would not have been free. Converting the whole account across the eight years from 65 to 72, while Tom was alive and they were still filing jointly, would have cost her approximately \$265,000 in federal tax. That is a real number and a large one, and she would have written those checks herself, in her sixties, out of money she could have spent on something else.

Set it against what actually happened. She paid roughly \$379,000 in tax on withdrawals she never wanted, about \$32,000 in Medicare surcharges, and left her children a \$447,000 bill. Approximately \$858,000.

**She could have paid \$265,000 instead of \$858,000.** Not by being clever. By deciding.

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*\$265,000 instead of \$858,000. The only thing she was choosing was who paid it.*

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That is not a return on investment, and it is worth being careful about calling it one. It is a different kind of math. The tax was always going to be paid by somebody. All she was choosing was who paid it, at whose rate, and in which years.

## Not Every Family Faces This

The math above describes Patricia's family. It does not describe every family.

If your adult children are in much lower brackets than you, the analysis can shift. A child in the 12 percent bracket who inherits a traditional IRA may pay less in federal tax over ten years than you would pay to convert it now at 22 or 24 percent. For families where the parents earned and saved more than their adult children currently earn, leaving the traditional IRA alone and letting the heirs withdraw at their lower rates is sometimes the better answer.

This is not the typical situation for the readers of this book. Most readers are people whose careful saving created an account that will be inherited by adult children who are already successful professionals in their own right. Those children are usually in higher brackets than their retired parents. For those families, the legacy math points strongly toward converting during the parents' lifetime, while the parents are in lower brackets and have time to spread the conversions out.

Chapter 6 covers the situations where converting is not the right answer in more detail. The point here is that the legacy question is not automatic. It is a calculation that depends on your specific family. The right way to know which side of it you are on is to look at the actual brackets your actual children are in, with someone who can model the math.

## **The Reframe**

A Roth conversion done with the legacy in mind is not about saving on your own taxes. It is about deciding who pays the tax on the money you have spent your life building.

You can pay the tax yourself, at your retirement bracket, in years where you have flexibility, room in your bracket, and the option to spread it out. Or your children can pay the tax later, at their bracket, compressed into ten years, during the highest-earning years of their lives.

The total amount of tax owed on the money is roughly the same either way. The difference is who writes the check, and at

what rate.

For most parents who think about it this way, the answer becomes obvious. They would rather pay the tax themselves, at their lower bracket, while they are alive and in control, than leave their children with a tax bill that arrives the same week as the funeral.

This is the question almost no one asks before doing a Roth conversion. It is also the question that, once asked, often settles the decision.

## **The Regret You Cannot Apologize For**

Most regrets allow some kind of repair. You can apologize. You can make amends. You can reach out and say, in some way, that you are sorry for what happened.

The regret in this chapter does not allow that.

If your children inherit a tax bill you could have prevented, you will not be there to explain it to them. You will not be there to say you wish you had done it differently. They will simply receive the money, and the tax bill, and live with both. Whatever they think about your choices, you will not hear it.

This is not meant to be heavy-handed. It is just true. The decisions you make about your IRA are the only financial gifts to your children where the cost is paid by them after you are

gone, on a timeline they cannot adjust, with a bracket they did not choose.

A conversion planned with the legacy in mind is one of the few financial decisions you can make for someone other than yourself. For most parents, that is the kind of decision they want to get right.

The next chapter walks through when each of the three paths is actually the right one for your family. The legacy math is one factor in that decision. It is not the only one.

*This is the one piece of the math you cannot work out on your own, because it depends on tax returns that are not yours. If you do not know what bracket each of your children is in, that is the single most useful thing you could find out before this decision, and it is the first thing worth bringing to a conversation about it.*

# When Each Choice Is the Right One

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This is the chapter where we tell you when not to convert.

A book that pushes everyone toward the same answer is not a book worth trusting. The truth is that for some families, Path 1, doing nothing, is genuinely the best call. For a small number of others, a one-time conversion fits cleanly. For most readers of this book, the third path is the one that fits best. But “most” is not “all,” and the only honest way to write this chapter is to lay out who fits where.

If at the end of reading this chapter you decide one of the other paths is right for your family, that is a legitimate outcome. The point of this book is not to talk you into anything. It is to make sure that whatever you decide, you decided it with your eyes open.

## When Path 1 Is Right

Path 1 means keeping your traditional IRA, taking RMDs when the law requires, and passing whatever is left to your heirs. There are real situations where this is the best option.

## **You plan to give a significant portion of your IRA to charity.**

If you are charitably inclined and intend to leave a meaningful share of your retirement money to charity, converting first is usually the wrong move. After age 70 and a half, you can use a Qualified Charitable Distribution, or QCD, to send money directly from your traditional IRA to a qualified charity. The money never appears on your tax return as income. The charity gets the full amount. You get credit toward your RMD without the tax. In 2026, you can use this for up to \$111,000 per year per spouse.<sup>17</sup>

A Roth conversion eliminates this benefit. Once the money is in a Roth, you have already paid the tax on it. Sending it to charity from a Roth is fine, but you have given up a tax-free path that was sitting right in front of you.

For deeply charitable retirees, the QCD route is often more efficient than any conversion strategy. If charity is a major part of your plan, the right answer is usually Path 1 with strategic QCDs, not a Roth conversion.

## **Your health or family history points to a shorter time horizon.**

A Roth conversion is a long-term play. The math depends on having years for the tax-free growth to compound and for the avoided RMDs to add up. If your honest assessment of your

own life expectancy is short, the math may never have time to work in your favor.

This is an uncomfortable subject. Most people do not want to make financial decisions based on how long they think they will live. But for someone in their late seventies with a serious health condition, paying a large conversion tax bill today for a benefit that will mostly accrue to their heirs is a different conversation than the standard conversion discussion. Sometimes the right answer is to use the money during your lifetime in a way that does not involve a conversion at all.

### **Your heirs are in much lower brackets than you are.**

We discussed this in the legacy chapter. If your adult children are in the 12 or 22 percent bracket, possibly because they are not high earners or are already in retirement themselves, the family math may favor leaving them a traditional IRA and letting them withdraw at their lower rates rather than you converting at yours.

This is not the typical situation for the readers of this book, but it does happen. A family where the parents had a successful career and built substantial savings, while the children chose lower-earning paths, can sometimes save more in total family tax with Path 1 than with conversion.

## **Your existing RMD exposure is small.**

If your traditional IRA is modest in size, your RMDs may never push you into a meaningfully higher bracket or trigger any of the cliffs we have been discussing. In that case, the value of a conversion is small. The cost, in conversion taxes paid today, may exceed the future tax savings.

The threshold here is not a dollar figure. It is the relationship between your IRA, your other income, and the cliffs that affect you. Some retirees genuinely do not have a problem to solve. The point is that not every retirement account is large enough to need conversion planning.

## **When Path 2 Is Right**

Path 2 means converting all or most of your traditional IRA in one move, paying the tax in a single year.

For balances in the range we have been describing in this book, Path 2 in its all-at-once form is almost never the right answer. The cliffs make it expensive. The cascade effects pile up. The lump-sum tax bill usually exceeds the cash available outside the IRA.

There are narrow situations where Path 2 makes sense:

## **The balance is small enough that no cliffs get triggered.**

If your traditional IRA is modest, and your other income leaves enough room in your current bracket to absorb the entire conversion without crossing Medicare thresholds, without bumping into the next bracket, and without affecting Social Security taxation, then converting it in one year is fine. There is no reason to spread it out.

This is rarely the situation for someone reading this book.

## **Specific estate-planning situations.**

There are narrow estate-planning structures, often involving trusts or generation-skipping arrangements, where a large one-time conversion fits the broader plan. These situations are usually being handled by an estate attorney coordinating with a financial planner. If that is your situation, your team has likely already considered conversion.

The version Robert ran in chapter 3, spreading the conversion across years on his own, is not Path 2 in the strict sense either. It was closer to Path 3 than he knew, and it was working. What went wrong there was not the plan.

## **When Path 3 Is Right**

The third path fits most readers of this book. The conditions where it makes sense:

## **You are between 59 and a half and roughly 75.**

This is the planning window. Before 59 and a half, conversions are still allowed but you are usually still working and in higher brackets. After 75, the runway for the conversion to pay off is shorter and the math gets less favorable. Inside the window, especially in the gap years between retirement and the start of RMDs, you have the most flexibility. If you have never owned a Roth IRA, remember the five-year clock from the plain-English chapter: the sooner your first conversion starts it, the sooner your earnings become fully tax-free.

## **You have meaningful traditional IRA or 401(k) balances.**

The bigger the balance, the bigger the difference between paths. For a small IRA, the absolute dollar savings are real but modest. For a million-dollar or larger IRA, the savings run into the hundreds of thousands of dollars over a lifetime. The math we have shown throughout this book scales with the balance.

## **You have cash outside the IRA to pay the conversion taxes.**

A multi-year conversion is dramatically more efficient when the taxes are paid from outside money rather than from the IRA itself. If you have significant taxable savings, brokerage accounts, or other liquid assets, you have the resources to make this work. If your entire net worth is inside qualified

retirement accounts, it is harder, though sometimes still possible.

### **You expect to live long enough for the conversion to pay off.**

The general rule is that a multi-year conversion needs roughly ten or more years to deliver clearly positive returns to you personally. If the goal is to pass money to heirs tax-free, the runway can be shorter, because the benefit accrues to them.

### **You have a spouse or heirs whose tax situation matters to you.**

The widow's penalty math and the heirs' tax math are two of the largest drivers of the third path's value. If you are single with no heirs, those parts of the math do not apply, and the conversion case rests on your own RMD math alone.

### **You have time to spread the conversion across multiple years.**

The whole point of the third path is that it happens across years, not in a single move. If you are 78 and just learning about all of this, you may not have eight years to work with. There are still planning options, but the timeline shapes what is possible.

# The Honest Summary

If you fit the conditions above, the third path is almost certainly worth modeling for your situation. That does not mean it is automatically right for you. It means it deserves a real analysis with your real numbers.

If you fit one of the Path 1 cases, especially the charitable case or the small-IRA case, the right answer may be to do nothing, or to do something other than a conversion. An honest advisor will tell you that. The Roth Reality Check is not a sales meeting. It is a math meeting. If the math says don't convert, you should hear that as clearly as if it said convert.

The next chapter shows you what the math actually looks like, side by side, for one specific couple.

*If you read this chapter and recognized yourself in one of the reasons not to convert, say so out loud when you have the conversation. An honest analysis should be able to tell you that doing nothing is right for you, and you should expect to hear it plainly if it is.*

# Seeing the Shape of the Math

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Up to this point we have described the three paths in words. Now we will put numbers on two of them, for one specific couple, across the rest of their lives.

Two of them, not three. That is deliberate, and it is worth explaining before you read another line.

The first two paths can be modeled in a book because they are rules, not decisions. Doing nothing has a formula. So does converting on your own by filling a bracket. Both of them run the same way for anybody with the same balance, and we can show you exactly what they cost.

The third path cannot be modeled in a book, because it is not a formula. It is a set of decisions made year by year against a picture only you have. If we printed a schedule here, it would be the right schedule for almost nobody reading this, and you would have no way of knowing whether you were the exception. So the third row of the table below has no number in it. That absence is the honest answer, and it is the point of the chapter.

A few more things to say plainly before we begin.

The numbers are simplified. Real planning involves dozens of variables a book cannot reasonably carry. We are using one couple, one set of assumptions, one tax environment, and no state tax, to keep the arithmetic readable. Your situation will differ in ways that change the specific figures. The shape of the math is what travels.

One thing to notice before the figures start. Patricia, in chapter 4, also had a million-dollar IRA and also did not convert, and her family's bill came to \$858,000 rather than the \$747,500 you are about to see. Same balance, same decision, different answer. The reason is that Patricia did not need her required withdrawals and never spent them, so her account kept growing and her children inherited more, while Dave and Carol live on theirs. That single difference is worth over a hundred thousand dollars, and neither of them chose it deliberately. It is a fair warning about how much any figure in a book like this depends on assumptions you have not been asked about yet.

## **Meet Dave and Carol**

Dave is 64. Carol is 63. They just retired.

Dave spent his career as a senior project manager at a regional construction firm. Carol was a hospital administrator. Between them, they raised two kids, paid off a house, and built up a traditional IRA through decades of consistent saving and modest employer matches.

Their numbers as they enter retirement:

- Traditional IRA balance: \$1,000,000
- Outside savings (brokerage and cash): \$312,000
- Combined Social Security at age 67: \$51,300 per year
- Spending, after taxes, of about \$72,000 a year
- No pension
- Expected life expectancy: Dave to 86, Carol to 91
- Two adult children, 41 and 38, both in their peak earning years

Two assumptions in that list do more work than the rest, so we are naming them rather than burying them.

The first is the spending number. Dave and Carol need about \$72,000 a year to live on, and until Social Security starts, most of it has to come out of the IRA. Every book example that quietly assumes a retired couple spends nothing produces much larger differences between the paths than a real household ever sees. We would rather show you the smaller, truer number.

The second is Dave's required withdrawal age. Under current law it is not 73. Anyone born in 1960 or later begins required withdrawals at **75**, and Dave, at 64, was born well after that line. That gives him eleven years between retiring and the first forced withdrawal. It is the longest stretch of control he will ever have over his own taxable income, and both of the paths below are really a question about what he does with it.

We also assume the IRA grows at 6.2 percent a year, that brackets stay roughly at current levels, and that they follow each path consistently. If you live in a state that taxes IRA distributions, add roughly 4 to 9 percent to every tax figure below. The comparison between paths holds.

## **Path 1: They Don't Convert**

Dave and Carol leave the IRA alone. They draw what they need to live on, take required withdrawals when the law forces them to, and let the rest compound.

For the first six years it looks like the sensible choice. The balance keeps growing even after their withdrawals. Their tax bills are modest. Nothing about the statements suggests a problem.

The problem is that the account is compounding faster than they are spending it, and what compounds along with it is the tax bill attached. By the time Dave reaches 75 and the first required withdrawal arrives, the IRA is substantially larger than the day he retired, and the size of every future withdrawal is now set by a divisor that shrinks every year.

Across Dave's remaining years, their combined federal income tax comes to approximately \$324,000. Medicare surcharges add roughly \$17,300 on top, because in the later years the required withdrawals push their income over the first threshold on their own.

Dave passes at 86. Carol spends her last six years as a single filer, with the brackets halved and the standard deduction cut by roughly \$17,000, on an income that barely fell.

When Carol passes at 91, approximately \$1,443,000 is left in the traditional IRA. The two children inherit it and must empty it within ten years, during the highest-earning decade of their lives. Their combined federal tax on that inheritance comes to approximately \$406,200.

**Path 1 family total: approximately \$747,500**

- Dave and Carol's federal tax: \$324,000
- Medicare surcharges: \$17,300
- Children's inheritance tax: \$406,200

That is the cost of the path you take by not choosing one.

## **Path 2: They Do It Themselves**

Dave and Carol read the same articles Robert read. They decide to fill the 22 percent bracket each year, converting whatever fits underneath the top of it and paying the tax from their outside savings.

This works. It is worth saying clearly, because this book is not an argument that you cannot do anything useful on your own. You can. Filling a bracket is a real strategy and it moves real money.

Across their retirement, their federal tax comes to approximately \$194,800. The IRA is empty well before Carol passes, so the children inherit a Roth and pay nothing at all.

**Path 2 family total: approximately \$206,300**

- Dave and Carol's federal tax: \$194,800
- Medicare surcharges: \$11,500
- Children's inheritance tax: \$0

Doing something imperfectly saved this family roughly \$541,000 compared with doing nothing. Almost all of it is the tax their children never have to pay.

But look at the middle line. They paid \$11,500 in Medicare surcharges, and they paid it for the reason Robert paid his: filling the 22 percent bracket puts a couple over the first Medicare threshold by construction, not by accident. Nothing about their plan was careless. The plan simply could not see the threshold, because a bracket chart does not have one on it.

They also never coordinated any of this with when Social Security turned on, because no article told them the two decisions were connected.

# The Paths Side by Side

| PATH                                               | WHAT IT COSTS THIS FAMILY |
|----------------------------------------------------|---------------------------|
| Path 1: Don't convert                              | approximately \$747,500   |
| Path 2: Convert on your own                        | approximately \$206,300   |
| Path 3: Built around your own year-by-year picture | your numbers              |

## THE PATHS, SIDE BY SIDE

Retiree tax Medicare surcharges Heirs' tax

### Path 1: Don't Convert



### Path 2: Convert On Your Own



### Path 3: Built Around Your Own Year



Same figures as the table above. Illustrative example, Dave and Carol, \$1,000,000 IRA. The third path has no bar because its size is your own number.

The third row is not a gap in our research. It is the chapter's conclusion.

# What This Actually Tells You

Three things, and only three.

**Doing nothing is the expensive option.** Not marginally. By something in the region of half a million dollars for a family with a million-dollar IRA, and most of that lands on the children rather than on the parents. This is the finding that holds no matter what you assume about spending, growth, or brackets. It is the one thing in this chapter we would defend in any direction.

**Doing something imperfectly is far better than doing nothing.** If you take one action from this book, taking an imperfect one beats waiting for a perfect one. Patricia's regret is larger than Robert's.

**And there is still money sitting on the table in Path 2.** The Medicare surcharges were avoidable. The Social Security timing was uncoordinated. Whether closing those gaps is worth a few thousand dollars to you or a great deal more depends entirely on the size of your account, the shape of your income, who your heirs are, and what your particular year looks like. We do not know. Neither does anyone else who has not seen your numbers.

That last paragraph is the honest reason to have a conversation, and it is a better reason than a number we would have to invent.

## **The Honest Caveat**

These figures are illustrative. Your situation involves variables no book can carry: state tax, charitable giving, health, pension

income, existing Roth balances, your specific heirs, and the timing of life events.

The point of the example is not to give you your number. It is to show you that the gap between the paths is large enough to be worth an hour of your time.

Before we get to that hour, there is one more question, and it is the one people ask least and regret most.

*If any of the numbers above look like they might be describing your account, that is the point at which a conversation stops being premature. Ask whoever gave you this book to run these same three paths on your actual balance.*

# The Tax You Already Paid

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The conversion is done. The money is in the Roth. The tax has been paid.

Almost nobody asks the next question, and it is the one this chapter is about.

Where does the money sit now?

Not which fund, and not which company. Something simpler and more important than that. The account you just paid a large tax bill to create can still lose value, and if it does, the tax does not come back.

## The Asymmetry

Your conversion tax was calculated on the balance the day you converted. That number is fixed the moment the transfer happens. Nothing that occurs afterward changes it.

Say you convert \$400,000 and pay roughly \$96,000 in federal tax to do it. You have decided that is a price worth paying to make that money permanently tax-free.

Now suppose the market falls 25 percent over the following year.

You still paid \$96,000. You now hold \$300,000. You paid a conversion tax calculated on four hundred thousand dollars for an account that contains three hundred thousand. Measured against what you actually have, the cost of that conversion just went from 24 percent to 32 percent, and you did nothing wrong to make it happen.

Chapter 1 explained that you cannot undo a conversion. This is where that fact does its real damage. Before 2018 you could have unwound this exact situation, and people did, routinely, for precisely this reason. That option is gone. The tax was paid on a balance that no longer exists, and there is no form to file about it.

The size of the tax bill and the size of the account are set at two different moments. That gap is the whole chapter.

## **Why This Lands Differently After 60**

A 45-year-old who lives through a bad market has an obvious answer: wait. The market has always recovered eventually, and they have twenty-five years to let it.

After 60, waiting is not free.

The S&P 500 took roughly five years to regain its 2007 peak after the 2008 crash.<sup>18</sup> The decline that began in 2000 took even longer to work through. For someone in their forties, that is an inconvenience and a good buying opportunity. For

someone who just paid a six-figure tax bill and expects to start drawing income within a few years, five years is a meaningful share of the runway.

The book's own math depends on this. Every comparison in Chapter 7 assumed the account compounds steadily. A conversion needs years of tax-free growth to earn back what it cost. A bad stretch early does not just reduce the balance. It eats the years the strategy needed to work in.

## The Trade, Stated Honestly

Here is where most versions of this argument stop being useful, so we will not stop there.

Protecting the money is not free either.

The reason you paid the tax was to buy tax-free growth. Growth is the entire return on that decision. Move the whole balance somewhere it cannot fall, and you have also, usually, moved it somewhere it cannot grow very much. If a conversion needs ten years of compounding to pay for itself, and the money is now earning a guaranteed rate below what the plan assumed, the conversion you just paid for may take considerably longer to come out ahead, or may not.

Safety costs return. Anyone who tells you otherwise is selling something.

So the honest question is not "should I protect it." It is "how much of it, and for how long, and what am I giving up."

# What The Options Actually Give Up

These are the broad categories. Each protects something and costs something, and the costs are the part usually left out.

**Staying invested.** Full growth potential, full exposure, complete liquidity. This is the right answer for money you genuinely will not need for a long time and can watch fall by a third without changing any decision. It is the wrong answer for money you are counting on within a few years.

**Bank CDs and money market accounts.** Federally insured within the applicable limits, predictable, easy to understand. You give up growth, and over a long retirement, inflation quietly does what a market decline would have done, only slower and without a headline.

**Treasuries.** Backed by the federal government, and the rate is what it is. Lock in a low rate for a long term and you have traded one risk for another.

**Multi-year guaranteed annuities.** A rate fixed by contract for a set number of years. The rate is guaranteed, but the guarantee depends on the financial strength of the insurance company issuing it, and the money is committed for the term. Take it out early and there are surrender charges.

**Fixed indexed annuities.** Credited interest that follows an index in good years and does not go negative in bad ones.

What you give up is the top end: participation is capped or limited by a stated rate, so a very strong market year is credited at less than the market returned. These also carry surrender periods, often long ones, and again the guarantee is only as good as the company behind it. Some can be turned into income that continues for life. They are complicated, they are not right for everyone, and the details vary enormously between contracts.

None of that is a recommendation. It is the shape of a decision, and it is genuinely a decision, with real trade-offs in both directions.

## The Question Underneath All of It

The useful question is not which of those is best. There is no best. The useful question is one nobody thinks to ask themselves:

**When do you actually need this money, and how much of your income depends on it?**

Money you will not touch for twenty years and money you will need at 72 are not the same money, even when they are sitting in the same account. A retiree whose pension and Social Security cover their spending has a completely different answer than one who needs this account to produce income within five years.

Most people have some of both. The account is one balance, but the money inside it is doing more than one job. Sorting out which dollars are doing which job is most of the work, and it is worth doing before a bad year makes the decision for you.

## Why This Chapter Is Here

A conversion is not finished the day the money moves.

You have paid, permanently, for an account with a specific advantage: it grows without tax and comes out without tax. What that advantage is worth depends entirely on what happens next, and what happens next depends on decisions almost nobody realizes they are making.

That is a strange thing to leave to chance immediately after writing the largest voluntary check of your retirement.

*If you are thinking about a conversion, this is worth settling before you convert rather than after. Ask whoever gave you this book to include it in your Roth Reality Check: not just whether to convert and how much, but where the money lands afterward and what each option would cost you.*

# The Conversation Most Retirees Wish They Had Sooner

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Robert and Patricia have one thing in common.

Looking back, they both wish they had done the same thing. Not the same conversion. The same conversation.

Robert wishes he had had somebody to call the week the letter arrived, rather than three years of reading afterward. Patricia wishes she had stopped trying to figure it out from articles and friends and sat down with someone whose entire job was to look at her specific situation. Both of them, looking back, would tell you they did not need more information. They needed the right conversation, with the right person, before they made a decision they could not undo.

The information has always been available. The interactions have always existed. The Medicare cliffs were on the books. The widow's penalty was in the tax code. The ten-year rule for inherited IRAs has been law since 2019. None of this is new. None of it is hidden.

What Robert and Patricia were missing was not knowledge. It was someone who had seen this play out in other families like

theirs and could spot, in the first ten minutes of conversation, which factors mattered most for their specific situation.

That is the conversation this chapter is about.

## **What the Conversation Actually Looks Like**

A Roth Reality Check usually runs 30 to 60 minutes on Zoom. Most of it is conversation. The advisor asks about your situation, your goals, your spouse, your heirs, your existing accounts, and your tolerance for paying tax now versus later. They ask about things you might not think to mention. Whether you have a vacation home you might sell in the next decade. Whether one of your kids is in a much different financial situation than the others. Whether either spouse has a health concern that affects the timeline. Whether you are charitably inclined, and how charitably.

These questions are not random. They are the questions that, in the advisor's experience, change the recommendation.

After the conversation, your numbers go into planning software designed for this kind of analysis. The software runs all three paths with your actual income, your actual balance, your actual heirs' brackets, and your actual state tax situation. Then you and the advisor look at the results together.

You see Path 1, Path 2, and Path 3, side by side, for your family.

You see what the family lifetime tax cost looks like under each path. You see where the Medicare cliffs sit for your situation. You see what the widow's penalty math looks like if either of you passes first. You see what your children would inherit and what they would owe under each path.

You leave the call with a clearer picture of your retirement than most retirees ever get.

## What It Costs

The Roth Reality Check is offered at no cost.

The Retirement Education Network sponsors it as part of its mission to give retirees access to real planning analysis without a sales obligation attached.

The person across the table is an independent licensed financial professional who focuses on retirement tax planning. They are not employed by the Retirement Education Network, and they are responsible for their own advice. If the conversation leads to a recommendation, and if you choose to act on it by purchasing a financial or insurance product, that professional may be paid a commission or other compensation by the company that issues it. You are free to take what you learn to any professional or firm you choose, including ones with no relationship to us.

We would rather tell you that plainly at the start than have you wonder about it at the end.

If you decide at the end of the call that you do not want to make any changes, that is a legitimate outcome. You will still walk away with a clearer picture than you had before.

If one of the paths fits your situation and you want help executing it, the advisor can guide you through the next steps. Implementing a multi-year conversion involves coordination with your IRA custodian, year-by-year tax planning, and ongoing adjustments as the brackets and your situation evolve. That is work the advisor does for clients who choose to engage further. There is no requirement that you do.

The point of the call is not to convert you to anything. The point is to make sure that whatever you do or do not do, you can see clearly what you are choosing.

## The Asymmetry That Matters

You are going to make this decision once.

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*You will make this decision once.  
They work through it every week.*

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You will live with the consequences for the rest of your life, and your family will live with them for ten years after that.

The advisor sitting across from you works through this decision regularly. They have seen the bracket-filling plan that almost worked. They have seen the Medicare surprise that

nobody anticipated. They have seen the widow's penalty hit a client whose late husband never planned for it. They have seen children inherit a tax bomb. They know what the failure modes look like, because they have watched them play out.

That asymmetry is the whole game. You are bringing one decision and one set of numbers. They are bringing pattern recognition built from hundreds of families like yours.

This is true of any specialist. A surgeon who has done a procedure five hundred times is not just better at the technique than someone doing it once. They are better at noticing when something is off, at adjusting in real time, at seeing what the textbook does not describe. The expertise is in the volume.

This decision is the same. The advisor's value is not in knowing the rules. The rules are in this book. The value is in having watched real families navigate them, and knowing which lever to pull when.

## **The Regret You Will Not Have**

Most of the regrets in this book belong to people who acted without seeing their picture, or never acted at all.

You can avoid both.

If you take 60 minutes to look at your three paths with someone who can model them properly, one of two things happens. Either you confirm that what you were thinking of doing was the right move, in which case you proceed with

confidence. Or you find out that something different fits your situation better, and you adjust before you make a permanent decision.

Either outcome is better than the alternative. The alternative is deciding the way Robert and Patricia did. Carefully, sincerely, with the best information they could find on their own, and with nobody to ask at the one moment it would have changed everything.

That is the regret this chapter exists to help you avoid.

The next page tells you how to set up your Roth Reality Check.

CLOSING

## How to Set Up Your Roth Reality Check

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You have read the book. You know more about Roth conversions now than most retirees ever will.

You also know what you do not yet know. You know there are factors specific to your situation that no book can address. You know your decision depends on numbers that have not been plugged into anything yet. You know the difference between understanding the rules and seeing your own picture.

If you want to see your picture, here is how.

## Setting Up Your Roth Reality Check

Contact whoever gave you this book and ask them to set up your Roth Reality Check. It is sponsored by the Retirement Education Network and there is no charge for it.

The call takes 30 to 60 minutes and happens on a screen you can both see, at a time that works for you. Here is what happens, and what you should get out of it.

**You ask first.** Whatever this book raised for you, and whatever it did not. If a chapter made you think about a threshold you had never heard of, or a year that is about to close, start there. Nothing is too small and nothing is too late to ask.

**Then they ask you.** A licensed professional will want to understand your situation before saying anything about it. What you have and where it sits. Whether you have already claimed Social Security or are still deciding. Whether either of you has a health concern that changes the timeline. What your children earn, because that turns out to matter more than most people expect. Whether you give to charity, and how much. None of the questions in this book can be answered well without those details, which is precisely why a book cannot answer them.

**Then you look at it together, on the screen.** Ask them to share their screen rather than describe numbers to you. Ask to watch your own figures go in. Any version of the question you want run, ask to watch it get run. If a number surprises you, ask where it came from before you accept it.

**Ask what your third path actually looks like.** This book has deliberately not told you, because your answer is not the one we would have printed. Ask how many years it runs. Ask what each year converts, and why that amount and not more. Ask where your Medicare threshold sits and how close the plan comes to it. Ask what happens in the year one of you is filing alone.

**Ask them to tell you plainly if nothing needs changing.**

Some readers will go through all of this and the honest answer will be that a conversion is not right for them. Chapter 6 exists because that is a real outcome rather than a polite one. Say out loud, at the start, that you want to hear it if it is yours.

**Ask what you will be left with when it is over.** It should be a document rather than the memory of a conversation. The conversation is how it gets built.

Have your spouse there if you are married. Two people in the same household reliably remember different halves of the same financial history, and the half your spouse remembers is often the half that changes the answer.

## What to Bring

Nothing here is graded, and nothing needs to be exact.

Your most recent tax return. It answers more questions in one page than an hour of conversation does. A recent statement for each retirement account, including any left with old employers. A rough balance for your savings outside those accounts, since that is what pays any conversion tax. Your Social Security estimate, which you can pull yourself from the my Social Security account at [ssa.gov](https://ssa.gov). A rough monthly number for what you actually spend. Whatever you know about your adult children's tax situation, even if the answer is that you do not know.

If several of those are missing, come anyway. Finding the missing pieces is frequently the first useful thing that happens.

## **What It Costs, and How the Person Across the Table Is Paid**

There is no cost for the Roth Reality Check. It is sponsored by the Retirement Education Network as an educational analysis, and you are not obligated to buy anything.

The person who gave you this book is an independent licensed professional. They are not employed by the Retirement Education Network, and they are responsible for their own advice. If the conversation leads to a recommendation, and if you choose to act on it by purchasing a financial or insurance product, that professional may be paid a commission or other compensation by the company that issues it. You are free to take what you learn to any professional or firm you choose, including ones with no relationship to us. Implementing anything discussed is a separate engagement and may involve fees, products, or services, which they will disclose to you at that time.

## **Nothing Needs to Change**

You may go through all of it and conclude that a conversion is not right for you. Your account may be modest enough that no threshold is ever in play. You may be charitably inclined in a way that makes qualified charitable distributions the better

route. Your heirs may be in lower brackets than you are. Your health may point at a shorter horizon than the math needs.

Those are all real answers, and Chapter 6 walked through every one of them. Confirming that doing nothing is right for you is worth as much as discovering that it is not, and afterwards you will know it because you looked rather than because you assumed.

## A Final Word

Patricia and Robert both wished they had done one thing differently.

Robert wished he had had one person to call when something unexpected happened, instead of stopping to be safe. Patricia wished she had stopped reacting to conflicting advice and just looked at her own numbers, her own family, and her own situation.

Both of them, looking back, said the same thing in different words. They wished they had taken 60 minutes to see their picture before they made a decision they could not undo.

You are reading this on an ordinary day. Nothing is on fire, and there is still time on the calendar. That is the whole difference between their situation and yours, and it is the one advantage that cannot be bought back afterwards.

Contact whoever gave you this book.

Ask them to set up your Roth Reality Check.

# About the Retirement Education Network

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The Retirement Education Network exists to give retirees access to clear, plain-English information about the financial decisions that shape their retirement years. We believe that the most consequential financial decisions a person makes deserve more than a quick conversation, a generic article, or conflicting advice from people who have not seen their full picture.

Our mission is simple. We want every retiree who works with us to understand their options before they decide. Not after. Not in hindsight. Before.

The Roth Reality Check is one of the tools we sponsor to deliver on that mission. It is offered at no cost to retirees age 59 and older who want to see their three paths modeled with their actual numbers, before they make a decision they cannot undo.

If this booklet was provided to you by an independent advisor or member of our network, that advisor is your point of contact for setting up your Roth Reality Check. They are an independently licensed financial professional who works with the Retirement Education Network to make this analysis

available to retirees in their state. They are responsible for their own advice, and we do not supervise their practice.

For more information about the Retirement Education Network or to request additional educational materials, contact the advisor who provided you this booklet.

# Where These Numbers Come From

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Every figure in this booklet was checked against a primary source. They are listed here so you, or anyone you show this to, can check them too. All are current as of 2026 and all of them can change.

1. Required beginning ages of 73 and 75 by year of birth, under the SECURE 2.0 Act of 2022. IRS, "Retirement plan and IRA required minimum distributions FAQs," [irs.gov](https://www.irs.gov).
2. The five-year holding period for earnings, and the single clock covering all Roth IRAs. IRS Publication 590-B.
3. Required withdrawals cannot be converted, and an amount converted in error is treated as an excess contribution subject to a 6 percent annual excise tax until corrected. IRS Publication 590-A and Publication 590-B.
4. Recharacterization of a Roth conversion was repealed for conversions made after 2017 by the Tax Cuts and Jobs Act of 2017. IRS, "Retirement topics: Roth IRA conversions," [irs.gov](https://www.irs.gov).
5. Historical top marginal federal income tax rates, 1913 to present. Internal Revenue Service historical tables; Tax Foundation, "Historical U.S. Federal Individual Income Tax Rates and Brackets."

6. 2026 federal income tax brackets and standard deduction. IRS Revenue Procedure 2025-32. The 16 percent figure is the arithmetic of filling the 12 and 22 percent brackets in sequence and can be reproduced from that table.
7. Net Investment Income Tax of 3.8 percent, applying above \$250,000 of modified adjusted gross income for married filing jointly. IRS, "Questions and Answers on the Net Investment Income Tax."
8. Up to 85 percent of Social Security benefits become taxable above the applicable base amounts. IRS Publication 915.
9. The 49.95 percent figure is 12 percent and 15 percent each multiplied by 1.85, reflecting a dollar of conversion income plus the 85 cents of Social Security benefit it makes taxable. Derived from the thresholds in IRS Publication 915 and the capital gains brackets in Revenue Procedure 2025-32.
10. 2026 standard Part B premium of \$202.90 per month. Centers for Medicare and Medicaid Services, 2026 Medicare Parts A and B Premiums and Deductibles.
11. The two-year look-back, applying the tax return from two years prior to the current year's premium. Social Security Administration, "Medicare Premiums: Rules for Higher-Income Beneficiaries."
12. 2026 income-related monthly adjustment amounts for Parts B and D, and the income thresholds of \$218,000 married filing jointly and \$109,000 single. Centers for Medicare and Medicaid Services.

3. 2026 standard deduction of \$32,200 for married filing jointly, plus \$1,650 for each spouse aged 65 or older. IRS Revenue Procedure 2025-32.
4. Uniform Lifetime Table life expectancy factors. IRS Publication 590-B, Appendix B, Table III.
5. 2026 brackets for single filers. IRS Revenue Procedure 2025-32.
6. The ten-year rule for most non-spouse beneficiaries of accounts inherited after December 31, 2019, and the requirement to take annual distributions in years one through nine where the original owner had already begun required withdrawals. SECURE Act of 2019; IRS final regulations issued July 2024.
7. 2026 qualified charitable distribution limit of \$111,000 per person. IRS Revenue Procedure 2025-32.
8. S&P 500 index levels, October 2007 peak to recovery in 2013. Standard and Poor's index history.

A note on the worked examples. The dollar figures attached to Patricia, Robert, Dave and Carol are not sourced, because they are not facts. They are the output of arithmetic run on the sources above, using the assumptions each chapter states out loud. Anyone with planning software and the stated assumptions should be able to reproduce them. If you cannot, we would rather hear about it than not.

# Important Disclosures

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This booklet is provided for educational and informational purposes only. It is not intended as tax advice, legal advice, investment advice, or a recommendation regarding any specific course of action.

Tax laws change frequently. Federal income tax brackets, Medicare premium thresholds, Social Security taxation rules, required minimum distribution ages, and inherited IRA distribution rules referenced in this booklet are based on the rules in effect as of 2026 and may change in future years. Readers should not rely on the specific dollar figures, thresholds, or rules cited in this booklet without confirming current law with a qualified professional.

All examples in this booklet, including those involving named individuals (Robert, Linda, Patricia, Tom, Dave, and Carol), are hypothetical and illustrative. They are constructed to demonstrate concepts and do not represent any specific person, family, or financial outcome. Any resemblance to actual persons, living or deceased, is coincidental.

Dollar figures used in examples are calculated using simplified assumptions about tax rates, market growth, life expectancy, and family circumstances. Actual outcomes for any specific

person will differ, sometimes significantly, based on factors including but not limited to state tax rules, charitable giving, health, pension income, existing Roth balances, the timing of life events, and additional planning strategies that may apply to that individual's situation.

The Retirement Education Network does not provide tax, legal, or investment advice through this booklet. Before making any decision regarding a Roth conversion, readers are strongly encouraged to consult with a qualified tax professional, a licensed financial advisor familiar with their individual situation, and any other appropriate professionals.

The Roth Reality Check referenced throughout this booklet is an educational analysis offered at no cost. It is not a guarantee of any specific outcome. Implementation of any planning strategy following the Roth Reality Check, including any multi-year conversion, requires separate engagement with a licensed financial professional and may involve fees, products, or services that are disclosed at the time of engagement.

Past performance is not indicative of future results. Investment values fluctuate. Tax-advantaged accounts are subject to rules that limit access to funds and may impose penalties for early withdrawal.

Sources for the figures cited in this booklet: IRS Revenue Procedure 2025-32 for the 2026 federal income tax brackets, the standard deduction, the additional standard deduction for

taxpayers 65 and older, and the 2026 qualified charitable distribution limit of \$111,000; IRS, "Retirement plan and IRA required minimum distributions FAQs" ([irs.gov](https://www.irs.gov)), for the Uniform Lifetime Table divisors, for the required beginning ages of 73 and 75 by year of birth under the SECURE 2.0 Act, and for the ten-year rule applying to accounts inherited after December 31, 2019, including the annual distribution requirement where the original owner had already begun required withdrawals; IRS Publication 915 for the base amounts governing how much of a Social Security benefit becomes taxable; Centers for Medicare and Medicaid Services for the 2026 standard Part B premium of \$202.90, the income-related monthly adjustment amounts for Parts B and D, and the two-year look-back applying 2024 income to 2026 premiums. The additional deduction for taxpayers 65 and older created by the One Big Beautiful Bill Act applies to tax years 2025 through 2028 and phases out above \$150,000 of modified adjusted gross income for a married couple. All figures are current as of August 2026 and are subject to change. Confirm any number here at [irs.gov](https://www.irs.gov), [ssa.gov](https://www.ssa.gov), [medicare.gov](https://www.medicare.gov), or [cms.gov](https://www.cms.gov) before relying on it.

By reading this booklet, you acknowledge that you have read and understood these disclosures.